On 1.1.2019, Pandian died and on his death the following arrangements are made:

(i) Stock to be depreciated by 10%

(ii) Land is to be appreciated by ₹ 11,000

(iii) Reduce the value of debtors by ₹ 3,000

(iv) The final amount due to Pandian was not paid

Prepare revaluation account, partners' capital account and the balance sheet of the firm after death.

**Solution**

**Dr.** **Revaluation Account** **Cr.**

| Particulars | ₹ | ₹ | Particulars | ₹ |
|---|---|---|---|---|
| To Stock A/c | | 2,000 | By Land A/c | 11,000 |
| To Debtors A/c | | 3,000 | | |
| To Profit on revaluation transferred to | | | | |
| Sundar's capital A/c (3/6) | 3,000 | | | |
| Vivek's capital A/c (2/6) | 2,000 | | | |
| Pandian's capital A/c (1/6) | 1,000 | **6,000** | | |
| | | 11,000 | | 11,000 |

**Dr.** **Capital Account** **Cr.**

| Particulars | Sundar ₹ | Vivek ₹ | Pandian ₹ | Particulars | Sundar ₹ | Vivek ₹ | Pandian ₹ |
|---|---|---|---|---|---|---|---|
| To Profit and loss A/c | 3,000 | 2,000 | 1,000 | By Balance b/d | 50,000 | 40,000 | 10,000 |
| To Pandian's Executor A/c | | | 16,000 | By General reserve | 18,000 | 12,000 | 6,000 |
| To Balance c/d | **68,000** | **52,000** | | By Revaluation A/c (profit) | 3,000 | 2,000 | 1,000 |
| | 71,000 | 54,000 | 17,000 | | 71,000 | 54,000 | 17,000 |
| | | | | By Balance b/d | 68,000 | 52,000 | |



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